

THE MARKET CHRONICLE

~BY CATALYST

NEWS

● VOLUME: 7 ● ISSUE: 2

● 31 DECEMBER, 2024

Catalyst Trusteeship get Stronger: Leaving a Remarkable Year Behind, but have a Promising One Ahead:

Charting Success – A Look at Leading Financial Listings:

Catalyst Trusteeship Limited's Debenture Trustee team continues to solidify its reputation as a trusted partner in the financial markets by overseeing a diverse array of secured and unsecured listings.

Among recent highlights, IIFL Finance Limited has raised ₹1,000 Cr through secured and listed debt, showcasing robust financial planning. Similarly, NDR InvIT Trust delivered a ₹630 Cr secured listing, further strengthening investor confidence. The ambitious Mumbai Urja Marg Limited made a bold move with a ₹2,450 Cr unsecured issuance, which is set to transition into a secured structure, enhancing its credit appeal. Additionally, SMFG India Credit Company Ltd and Incred Financial Services Limited secured their positions with ₹1,425 Cr and ₹1,000 Cr, respectively, through meticulously structured and listed secured debts.

These transactions highlight Catalyst Trusteeship Limited's pivotal role in empowering its clients to achieve strategic financial milestones while ensuring robust governance and investor trust.

Catalyst Trusteeship Played a Pivotal Role in Empowering Seniors:

Catalyst Trusteeship Limited was proud to partner with Grey Up in empowering seniors to protect what matters most – their health and wealth. Advocate Neha Rai Mathur, our Senior Vice President, led an engaging session at a senior living community, shedding light on the importance of a well-drafted Legal Will.

From avoiding common pitfalls like missing clauses and mismatched beneficiaries to understanding nuances like individual vs. joint wills, Neha provided valuable insights that left the audience informed and confident about seamless asset transitions. We are thrilled to contribute to such meaningful conversations that make a real difference in senior lives. A big thank you to Grey Up for hosting this impactful session!

CIRCULAR AND AMENDMENT ISSUED BY THE MARKET REGULATORS:

Pro-rata and pari-passu rights of investors of AIFs:

The Market Regulator, Securities and Exchange Board of India (SEBI) has introduced significant amendments to the pro-rata and pari-passu rights of investors of AIF, dated November 18, 2024. This amendment brings more clarity and fairness to investor rights within Alternative Investment Funds (AIFs). A key focus of this amendment is on maintaining rights of investors, ensuring proportionality and transparency in fund structures and distributions.

On pro-rata rights, SEBI mandates that an investors' rights in investments and the distribution of proceeds align with their commitment to the AIF. However, this requirement does not apply in cases where investors are excused, excluded, or default on their contributions. SEBI has also introduced flexibility for certain entities—such as multilateral or bilateral institutions, state industrial development corporations, and sovereign wealth funds—to subscribe to junior or subordinate units, allowing them to take on higher risks or lower returns compared to other investors. Importantly, SEBI prohibits the use of AIF funds to repay obligations of the manager or sponsor when they subscribe to junior classes of units.

On pari-passu rights, SEBI now allows differential rights to be offered to select investors without adversely affecting others' interests. Such rights must comply with guiding principles: they cannot shift liabilities to other investors, provide control over decision-making, or alter pre-existing rights. SEBI has tasked the Standard Setting Forum for AIFs (SFA) to develop a positive list of permissible differential rights, ensuring uniformity and compliance across the sector. For Large Value Funds (LVFs), SEBI has introduced an exemption from the pari-passu requirement, provided there are clear disclosures in the fund documentation and investor undertakings.

Link: https://www.sebi.gov.in/legal/circulars/dec-2024/pro-rata-and-pari-passu-rights-of-investors-of-aifs_89945.html

KNOWLEDGE SHARING:

A Comprehensive Guide to the PTC Listing Process:

The Listing Process for Pass-Through Certificates (PTC) is a crucial step in ensuring the compliance and transparency of securitized transactions. This guide outlines the listing requirements and associated timelines, alongside a breakdown of charges, for effective implementation.

The PTC listing process involves various steps categorized under financial documentation, payments, ratings and certifications, declarations and resolutions, post-settlement requirements, and trust deed registration. Financial documentation, such as three years of audited financial statements (Profit & Loss, Balance Sheet, and Cash Flow Statement), needs to be prepared and incorporated into the Information Memorandum by T-2 days.

Additionally, half-yearly audited financials or a Limited Review Report (LRR) is required if the last audited financials are more than three months old by the same timeline.

Mandatory payments, including BSE fees, NSDL stamp duty, and NSDL/CDSL fees, must be collected from the originator by T-2 days. Provisional rating letters and Chartered Accountant (CA) certificates are required by T-1 day, while declarations signed by directors on official letterhead and board resolutions from the originator must be completed by T day. Post-settlement tasks such as obtaining the final rating letter, issuing a legal opinion, and preparing issuer disclosures must be completed within T+2 days. The trust deed registration, charged at Rs. 25,000/- for each registration in Mumbai and Delhi, must be done by T-1 day, adhering to registrar office guidelines and ensuring no specific monetary figures are included.

For listed PTCs, it is essential to round the issue price to two decimals, as required by the BSE system for their listing portal.

The cost structure for the process includes various charges. CDSL fees are Rs. 1,00,000 plus GST per annum, while Recovery Expense Fund (R.E.F) fees are 0.01% of the listing amount. NSDL fees include a one-time joining fee of Rs. 15,000 plus GST and annual custody fees that vary based on the listed value, ranging from Rs. 15,000 for values up to Rs. 1 crore to Rs. 75,000 for values above Rs. 500 crores. Additionally, NSDL stamp duty is 0.005% of the purchase consideration amount. BSE fees include an initial listing fee of Rs. 20,000 and annual listing fees that depend on the issue size per ISIN, with a maximum annual fee of Rs. 10 lakhs.

This structured overview is designed to facilitate a seamless PTC listing process.

HIGHLIGHTS OF THE MONTH:

Security Trustee deals:

Sectors	No. of Transaction	Facility Amount (Cr.)
Infrastructure Sector	8	6894
Renewable Sector	44	14424.26
NBFC	34	9156
Others	13	7072.31
Real Estate	5	1809
Grand Total	104	39355.57

Securitization deals:

Asset Class	No. of Deals	Pool Size in Crores (Rs. In Cr.)
Agriculture Loans	3.00	187.44
Cars Loans	1.00	12,370.00
Commercial Vehicle Loans	6.00	2,460.34
Education Loan	2.00	39.72
Housing Loan	5.00	1,163.00
Loan Against Property	14.00	1,173.22
Microfinance Loans	13.00	2,994.74
Personal Loan	5.00	584.27
Secured Business loan	5.00	552.22
<u>TWO WHEELER LOAN</u>	2.00	1,230.46
Unsecured Business Loans	6.00	712.87
Grand Total	62.00	23,468.28

Debenture Trustee deals:

Sector	Tran. Count	Issue Size
Finance	2	40.00
Hotel	1	1,700.00
Housing Finance	1	375.00
Infrastructure	1	1,000.00
Leasing & Finance	1	30.00
Manufacturing	2	814.00
NBFC	35	6,201.00
Others	28	4,933.50
Power	11	1,305.50
Real Estate	10	1,192.00
Grand Total	92	17,591.00

Other deals:

Sector/Asset Class/Category	No. of Deals/ Transactions/funds	Issue Size/Pool Size in Crores
AIF(Domestic)	5	2,250
AIF (Gift City AIF)	1	8,500
ESOP/EBT/Private Trust	01	-

Thanks and Regards,
Editorial team of Catalyst.

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